ASML: business, cash flow and valuation

Independent financial-analysis project | Shubham Vijay Nanewar
Market reference: 4 November 2026 | Prepared: 5 November 2026

The question is what operating performance would support ASML's share price. The approach connects reported financials to operating assumptions, free cash flow and a valuation range.

Case	DCF EUR/share	2031 sales, EUR bn
Base	764.92	61.8
Downside	558.27	51.1
Upside	942.86	70.3

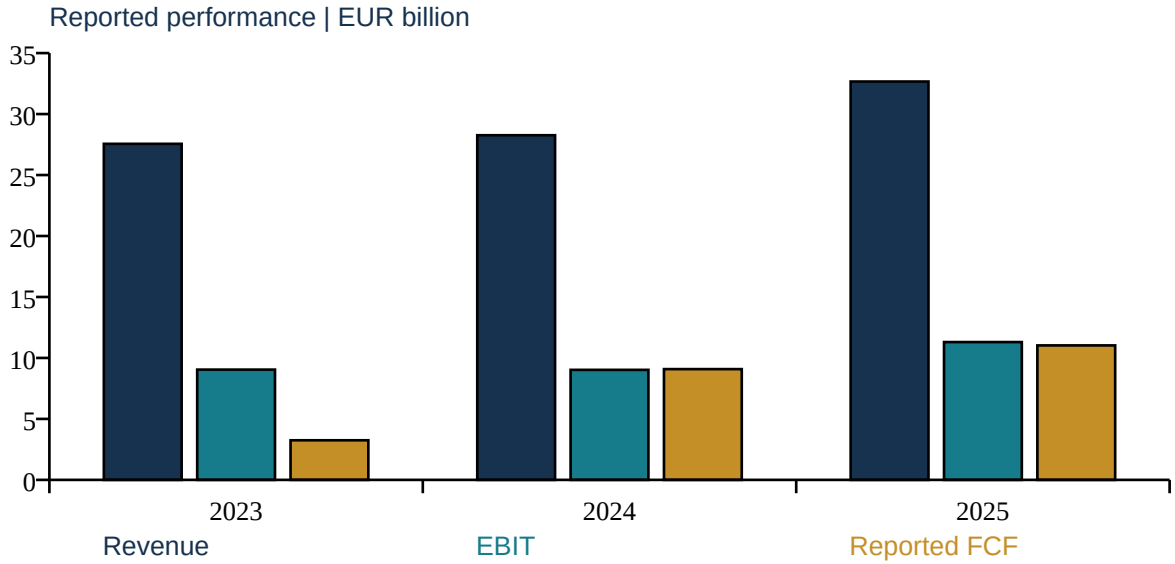
Observed close: EUR1,337.60. Base terminal value represents 74.7% of enterprise value. These figures are model outputs, not an investment recommendation.

ASML supplies lithography equipment, software and related services to chipmakers. EUV, DUV and installed-base support have different demand and margin drivers. Equipment orders, shipment, acceptance and revenue recognition are distinct events.

Commercial questions: How quickly can customers absorb additional capacity? How durable are upgrades and service demand? How do delivery timing, export restrictions and prepayments affect cash generation?

Sources: ASML products page, 2025 US GAAP annual report and October 2026 release. Full links are in the workbook and research report.

Reported performance and cash conversion



EUR billion	2023	2024	2025
Revenue	27.56	28.26	32.67
EBIT	9.04	9.02	11.30
Net income	7.84	7.57	9.61
Reported FCF	3.25	9.08	11.03

FY2025 gross margin was 52.8%; EBIT margin was 34.6%. Reported FCF is operating cash flow less cash PPE and intangible purchases. It is not DCF unlevered cash flow.

Customer advances help fund equipment production. Core working capital, including current and noncurrent advances, was negative EUR8.0 billion in 2025. That funding benefit creates future delivery obligations and should not be extrapolated without examining its sustainability.

Source: SEC-filed ASML 2025 and 2024 Form 20-F statements; US GAAP throughout.

Operating assumptions and forecast

The 2026 revenue anchor is EUR44.5 billion, the midpoint of company guidance issued in October. Forecasts for 2027-2031 are analyst assumptions. The base reaches EUR58.9 billion in 2030, within the older EUR44-60 billion Investor Day scenario range. The upside exceeds it.

Base assumptions	2027	2031
Revenue growth	8.0%	5.0%
Gross margin	56.0%	58.0%
R&D; / revenue	10.5%	10.5%
SG&A; / revenue	3.2%	3.2%
Operating tax	18.0%	18.0%
Capex / revenue	4.5%	4.5%
Normalised NWC / revenue	10.0%	10.0%

Base, EUR bn	2027	2028	2029	2030	2031
Revenue	48.1	51.9	55.5	58.9	61.8
EBIT	20.3	22.2	24.0	25.8	27.4
FCFF	15.4	16.8	18.2	19.6	20.9

The base implies meaningful operating leverage. Normalised working capital is a positive analyst assumption, not a roll-forward of reported customer advances. R&D; stays expensed and share-based compensation is not added back.

Sources: ASML October 2026 release and 2024 Investor Day. All later operating drivers are assumptions.

DCF and sensitivity

FCFF = EBIT after operating tax + D&A; - cash capex - increase in normalised NWC. The model includes a prorated remaining-2026 stub, five annual forecasts and a terminal cash flow rebuilt from operating and reinvestment assumptions.

Base bridge	EUR billion
Enterprise value	279.55
Add Q3 cash and ST investments	12.74
Less assumed minimum operating cash	(2.00)
Less estimated debt	(2.70)
Add non-operating assets at book value	5.45
Equity value	293.04

WACC / growth	2.0%	2.5%	3.0%	3.5%	4.0%
7.5%	934	1,007	1,096	1,208	1,351
8.5%	793	842	900	971	1,056
9.5%	689	724	765	812	868
10.5%	610	636	666	700	739
11.5%	547	567	590	615	643

The 9.5% discount rate is illustrative, not an estimated market WACC. Debt is approximated using 2025 debt less nine-month debt and finance-lease repayments. Q3 weighted-average basic shares proxy ending shares. The stub assumes even quarterly cash generation. These are material simplifications.

Sources: Q3 2026 statements and independent calculations. Sensitivity outputs are EUR/share.

Peer comparison and interpretation

Company	FY end	P/E	EV / sales
ASML.AS	2025-12-31	53.6x	15.5x
AMAT	2025-10-26	41.9x	10.3x
LRCX	2025-06-29	52.4x	15.1x
KLAC	2025-06-30	48.7x	16.6x

These are 4 November 2026 prices divided by FY2025 earnings and revenue. FY2025 shares and balance sheets are also used. They are historical-denominator diagnostics, not current TTM or forward trading comparables. Subsequent buybacks are not captured; restated split-adjusted shares are used where available.

Applied Materials, Lam Research and KLA have different equipment, services and customer exposures. Their multiples provide context but cannot be applied mechanically to ASML. Ratios use each company's own currency; absolute EUR and USD amounts are not aggregated.

The market price exceeds this model's three operating cases at the common 9.5% discount rate. A lower discount rate, stronger demand, better margins or a different long-term cash-flow view could narrow the gap. This is a question to investigate, not proof that the shares are mispriced.

Next steps: construct matched TTM figures, use dated ending shares and complete cash balances, and assess differences in growth and business mix before forming a multiple-based valuation.

Sources: SEC company-facts files and dated Yahoo chart responses, retained with provenance.

Discussion points and model limits

What drives the result? Growth matters, but terminal margins and the discount-rate/terminal-growth gap dominate a large portion of the valuation. A high-quality business can still require demanding assumptions at a high market price.

A finding to discuss: Reported cash generation strengthened much more than profit across the historical period. The question worth explaining is how working-capital timing and customer advances contribute, rather than assuming cash conversion is a permanent operating improvement.

What would I ask a client? First establish whether the decision concerns valuation, funding, capex timing or capital returns. An acquisition recommendation or debt-capacity assessment would require additional work on contractual commitments, financing terms and cash-flow downside protection.

What is incomplete? This is not a full three-statement forecast. The discount rate, normalised NWC, operating cash reserve and stub are assumptions. Debt and shares are proxies; non-operating assets are carried at book. The peer table is not matched TTM. Full sources and replication instructions accompany the model.

Checks performed: statement identities, reported source controls, cash-flow identities, scenario ordering and valuation monotonicity. Excel cases and the 25-cell native sensitivity table are compared with an independent Python model. Excel desktop testing was not performed.

Interview preparation: explain why US GAAP matters; distinguish reported FCF from FCFF; walk from enterprise to equity value; defend the base growth and margin assumptions; discuss how advance payments affect valuation; change an Excel assumption and explain the result.

Supporting files: ASML_Valuation.xlsx; RESEARCH_REPORT.md; INTERVIEW_GUIDE.md; data/processed CSVs; source manifest; Python tests.